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Case Number: NAIH-5377-12/2023
Subject: Decision rejecting the application
Case Officer: Dr. Kelemen Bíborka

H A T A R O Z A T

The National Authority for Data Protection and Freedom of Information (hereinafter: Authority) [...] represented by its legal representative (address: [...]; hereinafter: Representative) regarding the minor child, [...] (date and place of birth: [...]; mother's name: [...]; hereinafter: Data Subject) submitted an application to the Authority on May 16, 2023, against [...] Bank Zrt. (registered office: [...]; company registration number: [...]; hereinafter: Applicant) concerning the unlawful processing of the Data Subject's personal data, the Authority makes the following decisions:

- I.
The Authority rejects the Data Subject's request for the Authority to determine that the Applicant unlawfully processed their personal data.
- II.
The Authority rejects the Data Subject's request for the Authority to instruct the Applicant to delete the unlawfully processed personal data.
- III.
The Authority rejects the Data Subject's request for the Authority to instruct the Applicant to provide the Representative with copies of documents unlawfully processed concerning the Data Subject.

There is no administrative remedy against this decision, but it can be challenged in an administrative lawsuit filed with the Metropolitan Court within 30 days from the notification. The lawsuit must be submitted electronically to the Authority, which will forward it along with the case documents to the court.¹ A request for a hearing must be indicated in the lawsuit. For those not fully exempt from personal fees, the administrative lawsuit fee is HUF 30,000, and the case is subject to the fee registration right. Legal representation is mandatory in proceedings before the Metropolitan Court.

I N D O K O L Á S

I. Subject of the procedure

(1)

The application for data protection authority proceedings submitted by the Representative on behalf of the Data Subject was received by the Authority on May 16, 2023, in which it was stated that on October 13, 2021, they entered into a baby waiting loan agreement with the Applicant, contract number: [...] The Representative objected to the data processing carried out during the loan administration, as they considered the processing of the Data Subject's personal data to be disproportionate and unnecessary. The reason for this is that when they wanted to verify the Data Subject's birth to the Applicant, an employee of the Applicant made copies of both sides of the Data Subject's address verification official document, tax identification card, and birth certificate on March 27, 2023, and presenting those was not sufficient.

¹ The form for initiating the administrative lawsuit is called NAIH_K01. The form can be filled out using the general form filling program (ÁNYK program). The form is accessible and can be downloaded from the Authority's website: <https://www.naih.hu/kozig-hatarozat-birosagi-felulvizsgalata>

(2) The Representative found the preparation of document copies objectionable, and therefore contacted the Respondent's data protection officer as well. In an electronic letter sent to the [...] email address on April 4, 2023, he requested information on which legal regulation the Respondent relies on to process all personal data of the child. In a response letter dated April 12, 2023, the Respondent's data protection officer informed the Representative that the processing of the aforementioned data, including the Subject's birth certificate, identity card, address card, and tax identification card copy, is carried out in accordance with Section 14 (4) of Government Decree 44/2019 (III. 12.) on the baby waiting support (hereinafter: Baby Waiting Decree), with reference to Section 9 (2) c) point, as these documents must be attached to the application for the suspension of repayment based on these legal provisions. Furthermore, he informed the Representative that there is a ministerial position statement available that generally stipulates that banks must be able to verify the conditions for claiming state support, meaning that "for the decision-making of the credit institution, its review by the housing support authority, and the subsequent control by the Hungarian State Treasury, it is necessary to retain the documents that substantiate the evaluation of the support, i.e., the verification of the conditions for entitlement to support."

(3) The Representative did not find the above information satisfactory. In his opinion, since they applied for family support benefits directly from the Hungarian State Treasury, the provisions of Section 9 (2) c) of the Baby Waiting Decree are not applicable in this regard. Consequently, he believes that the Respondent's data processing was unnecessary and disproportionate.

(4) In the application for the data protection authority procedure, the Representative requested that the Authority establish that the Respondent's data processing was significantly disproportionate and unnecessary when the Respondent photocopied the Subject's "official identification document," as the identification document is not necessary for loan processing at all.

(5) The Representative further requested that the Authority order the Respondent to delete the unlawfully processed personal data and to return the copies made of the Subject's documents.

II. Facts

(6) The Respondent initially stated, in general, regarding the banks' obligation to copy documents, that the supervisory bodies overseeing banks, such as the Hungarian National Bank (hereinafter: MNB) or the Hungarian State Treasury (hereinafter: Treasury), formulate expectations for banks that make it unavoidable for banks to be able to substantiate with documents and records in every case that they comply with the relevant legal provisions during their financial service activities, such as loan granting or the evaluation of support related to state subsidies.

(7) The Respondent further stated that in accordance with the relevant legal regulations and the MNB's relevant recommendations, the bank branch employees conducting sales cannot be placed in a position to make lending-related or credit evaluation decisions. In order to ensure prudent and transparent operation of banks, the protection of depositors' money, and the preservation of the stability of the banking sector, banks cannot establish internal processes that result in commission-incentivized bank branch clerks making credit evaluation decisions, meaning that the bank branch clerks receiving the verifications are not authorized to make decisions related to the suspension of repayment or the awarding of child-rearing support. To ensure prudent and proper banking operations, situations must also be avoided where bank branch employees may inadvertently handle data.

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In connection with misinterpretation and concealment, the credit assessment or the disbursement of the loan or state aid may be influenced or unlawfully ensured. Based on all of this, the high level of documentation requirements arising in the banking sector, which is expected by supervisory authorities from banks, stems from the fundamental principle that the prudent operation of banks and the possibility of internal abuses must be avoided in order to maintain the stability of the banking sector.

(8)

The Applicant also deemed it necessary to state that banks are not entitled to override or supplement legal provisions regarding loans related to state aid. Banks may decide whether to provide a particular state aid or not, but if they choose to provide the given state aid, they cannot deviate from the legislator's regulation, even if the provision concerning the relevant legal provision is unintelligible, inapplicable, or inappropriate. Therefore, the Bank, even if a particular legal provision is difficult or impossible to interpret from a data protection perspective, still maintains the application of the relevant laws, such as the concepts or solutions defined in the Babaváró Act.

(9)

In relation to the specific case, the Applicant stated at the outset that the Representative's claim that the Applicant manages the Identifying Personal Code of the Data Subject is not true, as there was no copying of the page containing the personal identification code of the address card, just as there was no copying of the Data Subject's identity card. To support this statement, the Authority provided copies of the documents of the Data Subject. (NAIH-5377-6/2023.)

(10)

The Applicant processes the following personal data of the Data Subject: name; birth name; mother's name; place and date of birth; citizenship; address; tax identification number; the date of the 12th week of pregnancy and the expected date of birth.

(11)

The Applicant processes the Data Subject's personal data based on Article 6(1)(b) of the GDPR, on a contractual legal basis, designating the purpose of data processing as the fulfillment of the baby waiting loan agreement concluded by the Representative and their spouse, as the further fate of the contract depends on the submission of proof related to the birth of the child, the further entitlement to interest support or its repayment obligation, the suspension of repayment, etc.

(12)

In its statement, the Applicant maintained what was written to the Representative, namely that the processing of the Data Subject's personal data is prescribed for it by Sections 14(4) and 9(2)(c) of the Babaváró Act, and in addition, referred to Sections 5(2) and 22(2) of the Babaváró Act.

(13)

Sections 5(2), 14(4), 22(2), 19(5), and 9(2)-(3) of the Babaváró Act prescribe for the Applicant, in the context of contract fulfillment, which data must be processed regarding the suspension of repayment, the utilization of childbearing support, and the completion of the 12th week of pregnancy, as well as which proofs must be used to assess the eligibility of the supported person for assistance in connection with the birth or death of the child.

(14)

The Applicant's task is to enforce the legal consequences recorded in the loan agreement and the Babaváró Act concerning the suspension of repayment, childbearing support, and the failure to report the pregnancy or the birth of the child. In connection with the suspension of repayment or the birth of the child, the Applicant does not receive data from the Treasury, thus the Applicant must assess the eligibility of the supported persons for the suspension of repayment, as well as the...

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In connection with the birth of a child, it must be determined whether the loan agreement has been performed in accordance with the contract or not, and the legal consequences (contractual consequences) applicable based on this contractual or non-contractual performance must also be established, even if the supported individuals do not apply for family support benefits or apply for family support benefits at a family support payment office, or even if family support benefits are applied for at the Treasury.

(15) The Applicant must be able to substantiate with documents that the use of state aid has occurred in accordance with the regulations to ensure prudent operation and compliance with its supervisory authorities. Therefore, the Applicant must manage the copies of documents that can prove the lawful use of state aid to its supervisory authority in relation to the performance of the contract and the

assessment of the legality of the aid. The copying of documents is limited to those documents containing data that the Applicant is obliged to manage under the Babaváró regulation. For this reason, the Applicant manages copies of the page of the affected person's address card that does not contain a personal identification mark, their tax identification number, and their birth certificate. The Applicant also informed the Authority that in point II of the attached form titled "Notification," the legal representative of the Affected person has consented to the data processing "in accordance with the terminology" contained in the Babaváró regulation, and it has been recorded in point IX.1 of the form that the birth certificate, tax identification number, and address card have been submitted.

(16) According to the Applicant's position, its data processing is lawful, as it has the right to manage the data set specified in Section 5 (2) of the Babaváró regulation in connection with the performance of the contract, including the management of documents related to the verification of the child's birth, that is, the performance of the contract.

(17) The Applicant further stated that the Treasury expects it to substantiate the legality of the allocation of aid with documents and records. In terms of the Treasury's practice, there is no difference in this regard whether family support benefits are applied for at a family support payment office or at the Treasury.

III. Applicable Legislation

(18) According to Article 2 (1) of the GDPR, the GDPR must be applied to the data processing in this case.

(19) GDPR Article 5 (1) (c): Personal data must be adequate and relevant for the purposes of data processing and must be limited to what is necessary ("data minimization").

(20) GDPR Article 6 (1) (b) and (c): The processing of personal data is lawful only if at least one of the following applies:

b) the processing is necessary for the performance of a contract to which the data subject is a party, or for taking steps at the request of the data subject prior to entering into a contract;

c) the processing is necessary for compliance with a legal obligation to which the data controller is subject;

(21) GDPR Article 77 (1): Without prejudice to any other administrative or judicial remedy, every data subject shall have the right to lodge a complaint with a supervisory authority – in particular in the Member State of their habitual residence, their place of work, or the place of the alleged infringement – if the data subject considers that the processing of personal data relating to them infringes this Regulation.

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(22) Section 2 (2) of the Infotv.: The processing of personal data falling under the scope of Regulation (EU) 2016/679 of the European Parliament and of the Council (hereinafter: General Data Protection Regulation) shall be applied in accordance with the General Data Protection Regulation as specified in Chapters III-V and VI/A, as well as in points 3, 4, 6, 11, 12, 13, 16, 17, 21, 23-24 of Section 3, in paragraph (5) of Section 4, in paragraphs (3)-(5), (7) and (8) of Section 5, in paragraph (2) of Section 13, in Section 23, in Section 25, in paragraphs (3), (4) and (6) of Section 25/G, in paragraph (2) of Section 25/H, in paragraph (2) of Section 25/M, in Section 25/N, in paragraph (1) of Section 51/A, in Sections 52-54, in paragraphs (1)-(2) of Section 55, in Sections 56-60, in paragraphs (1)-(3) and (6) of Section 60/A, in points a) and c) of paragraph (1) of Section 61, in paragraphs (2) and (3) of Section 61, in point b) of paragraph (4) and in paragraphs (6)-(10) of Section 61, in Sections 62-71, in Section 72, in paragraphs (1)-(5) of Section 75, in Section 75/A, and with the supplements defined in Annex 1.

(23) According to paragraph (1) of Section 60 of the Infotv., in order to ensure the enforcement of the right to the protection of personal data, the Authority may initiate a data protection authority procedure ex officio. The rules of Act CL of 2016 on General Administrative Procedure (hereinafter: Ákr.) shall apply to the data protection authority procedure with the supplements defined in the Infotv. and with deviations according to the General Data Protection Regulation.

(24) The rules of Act CL of 2016 on General Administrative Procedure (hereinafter: Ákr.) shall apply to the data protection authority procedure with the supplements defined in the Infotv. and with deviations according to the General Data Protection Regulation.

(25) Section 5 (2) point a) of the Babaváró Regulation: At the time of submitting the loan application, the applicants consent in a fully evidential private document to the following:

a) that the data related to the loan and the baby waiting support, as well as the names of their own children born or adopted after the submission of the loan application,

aa) their name,

ab) their birth name,

ac) their mother's name,

ad) their place and date of birth,

ae) their nationality or stateless status,

af) their address,

ag) their notification address,

ah) the number of their identity card, travel document, or card-format driving license,

ai)

aj) their tax identification number

be processed by the credit institution for the purpose of evaluating the loan application, concluding the loan agreement, disbursing the loan, and verifying lawful utilization, and to forward this information to the treasury, the national tax authority, and the government office.

(26) Section 9 (2) points b) and c) of the Babaváró Regulation: The loan agreement shall include the declaration of the supported persons

b) in which they undertake to prove the 12th week of pregnancy and the expected date of delivery with the pregnancy care book defined in the ministerial decree on pregnancy care or with a document issued by the attending physician containing the information specified in Annex 2, and consent to the processing of this data,

c) their declaration in which they undertake that if they do not apply for family support benefits following the birth or adoption of the child, or if they apply for it at a family support payment office, they will provide the birth certificate of the biological child, the official identification document proving their address, and their tax identification document, or in the case of an adopted child, the

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the final decision authorizing adoption, as well as the official identification proving the adopted child's residence and tax identification, must be presented, and a declaration regarding living in a common household must be made in a private document with full evidentiary force, or in the case of the fetus's death, a document defined in Annex 3 must be provided, in the case of stillbirth, a document according to the government decree on the examination of the deceased and procedures related to the dead, or in the case of the death of a live-born child, a death certificate confirming this must be presented to the credit institution within 180 days, and they consent to the processing of this data,

(27)

Babaváró Regulation § 14 (1) a): The supported individuals are entitled to suspend repayment

a) after their fetus has reached at least the 12th week of pregnancy, if the pregnancy exists at the time of submitting the loan application or thereafter, and the fetus reaches the 12th week of pregnancy within 5 years from the date of disbursement of the loan,

(28)

Babaváró Regulation § 14 (4): The request for suspension of repayment must be submitted to the credit institution. The request must be accompanied by the documents specified in § 9 (2) b) and c). The credit institution determines the fulfillment of the eligibility conditions for suspension based on the submitted certificates.

(29)

Babaváró Regulation § 22 (2): If childbearing support is claimed for the fetus, and in the case of suspension of repayment, the supported individuals must prove the birth of the child or the death of the

fetus, stillbirth, or the death of the live-born child within 180 days following the expected date of delivery, according to § 9 (2) c). If they do not provide such proof, the credit institution will notify the treasury within 15 days after the deadline has expired. If there is no data regarding the child in the unified social registry according to the law on family support, the treasury will immediately notify the state tax authority.

(30)

Babaváró Regulation § 23 (1): The babaváró supports are accounted for by the credit institution with the treasury.

(31)

Babaváró Regulation § 23 (8): During its inspection, the treasury may conduct an on-site inspection at the credit institution and is entitled to request necessary information and documents or to inspect them on-site.

(32)

Babaváró Regulation § 24 (1): The credit institution is responsible to the state for any damage arising from the violation of obligations imposed on it under this regulation. The credit institution is exempt from liability if it proves that it acted as generally expected in the given situation.

IV. Decision

IV. The legality of the data processing requested

(33)

The Babaváró Regulation names several forms of support. The supported couples are entitled, on the one hand, to interest support regarding the loan taken – which interest support can be lost under various conditions, and a reimbursement obligation arises regarding the interest support already disbursed by the Treasury – and, on the other hand, they are entitled to suspend repayment after the 12th week of pregnancy, including the period following childbirth, or if they jointly adopt a child. The supported individuals are entitled to a second,

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In the case of having a second or third child, individuals are entitled to non-repayable childbearing support, the amount of which is 30% of the outstanding debt from the baby waiting loan for the second child, and for the third child, it corresponds to the total remaining loan debt. Childbearing support can be requested similarly to the suspension of repayment after the 12th week of pregnancy, including the period following childbirth, or in the case of adoption.

(34)

In the specific case, the Representative and his wife requested the suspension of repayment from the Applicant on [...] 2022, considering that the 12th week of pregnancy had been completed, and then on [...] 2023, they confirmed to the Applicant that their child, the Affected, had been born, which obligation was prescribed by Section 22 (2) of the Baby Waiting Regulation. Regarding the suspension of repayment, Section 14 (4) of the Baby Waiting Regulation states that the request for suspension must be submitted to the financial institution. The application must be accompanied by the documents specified in Section 9 (2) points b) and c). The financial institution determines the fulfillment of the eligibility criteria for suspension based on the submitted certificates.

(35)

Section 14 (4) of the Baby Waiting Regulation thus refers back to the documents specified in Section 9 (2) points b) and c), which reference is a general legislative drafting technique aimed at avoiding unnecessary repetitions. That is, for the purpose of the request for suspension of repayment, only the part of Section 9 (2) points b) and c) that names the documents to be submitted is significant, not the fact that Section 9 (2) points b) and c) aim to trigger other legal effects.

(36)

Consequently, it is of no significance whether the Representative and his wife applied for, and if so, where, family support benefits; this does not affect the scope of documents to be submitted to support the request for suspension of repayment, which is defined by Section 14 (4) with reference to Section 9 (2) points b) and c), which for biological children are as follows: pregnancy care book or a document

issued by the treating physician containing the information specified in Annex 2 of the Baby Waiting Regulation; birth certificate of the biological child, official identification proving their address, and tax identification.

(37)

Furthermore, Section 5 (2) of the Baby Waiting Regulation explicitly authorizes financial institutions to manage the names, birth names, names of their mothers, places and times of birth, citizenship or stateless status, addresses, and tax identification numbers of children born after the loan application is submitted by the supported couples for the purpose of evaluating the loan application, concluding the loan agreement, disbursing the loan, and verifying lawful utilization. The documents copied by the Applicant contain only this data, and the copies serve to verify the authenticity and correctness of this data. The Representative only claimed in his submission that the page containing the personal identification number of the Affected's official identification proving their address was also copied by the Applicant, but he could not substantiate this with anything, thus the Authority establishes based on the documents provided by the Applicant that the personal identification number of the Affected was not managed by the Applicant, and no copy was made of it by the Applicant.

(38)

Section 14 (4) of the Baby Waiting Regulation explicitly emphasizes that the financial institution determines the fulfillment of the eligibility criteria for the suspension of repayment based on the submitted certificates, meaning that in the absence of these documents, financial institutions must reject requests for suspension of repayment.

(39)

It should also be noted that the Applicant, as well as all financial institutions disbursing baby waiting loans, are in an accounting relationship with the Treasury, and Section 23 (8) of the Baby Waiting Regulation...

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According to paragraph 8, the Treasury may verify the activities related to the baby waiting loan and is entitled to request the necessary information and documents or to inspect them on-site. Furthermore, according to Section 24 (1) of the Baby Waiting Regulation, the credit institution is responsible to the state for any damage arising from a breach of obligations imposed on it under this regulation. This means that the Applicant must manage the documents and records specified in the Baby Waiting Regulation to ensure compliance with the laws and to prove compliance. Thus, based on the above, it is not sufficient for the credit institution to merely present the documents specified in Section 9 (2) b) and c) of the Baby Waiting Regulation to prove eligibility for support.

(40)

In light of all this, the Authority establishes that the Applicant lawfully prepared copies of the documents containing the data of the Affected Party as per Section 14 (4) and Section 9 (2) b) and c) of the Baby Waiting Regulation, namely the part of the official identification document of the Affected Party that contains the address, their tax identification card, and their birth certificate, and that the personal data contained therein is managed lawfully. The management of the personal data on the document copies by the Applicant is necessary and proportionate to the intended purpose, as the Applicant determines the fulfillment of the eligibility criteria for the suspension based on the submitted certifications; without these, the support applications could not be assessed. Consequently, the Authority concludes that the Applicant lawfully manages the personal data of the Affected Party in accordance with the principle of data minimization under Article 5 (1) c) of the GDPR, and therefore rejects the requests submitted by the Representative on behalf of the Affected Party.

(41)

The Authority further notes that the Applicant designated Article 6 (1) b) of the GDPR as the legal basis for the management of the personal data of the Affected Party, which states that the processing of personal data is lawful to the extent that it is necessary for the performance of a contract to which the

data subject is a party or for taking steps at the request of the data subject prior to entering into a contract.

(42)

However, the Affected Party is not a party to the contract, nor do any rights or obligations arise from the contract for them; the contracting parties concerning the baby waiting loan are the parents of the Affected Party and the Applicant, thus Article 6 (1) b) of the GDPR can only be considered an appropriate legal basis in relation to the supported parties as contracting parties.

(43)

The processing of personal data of children—whether they are biological or adopted children of the supported parties—occurs so that the parents, the supported parties can prove that they have fulfilled the conditions for the support received from the state in parallel with the baby waiting loan, and that this fulfillment can subsequently be verified by the credit institution to the Treasury. The obligation of the parents to prove compliance with the eligibility criteria for support to the credit institution arises with the conclusion of the baby waiting contract. Although the supported parties must prove compliance to the credit institution, this is significant in terms of the support provided by the state; the fulfillment or non-fulfillment of the conditions for support does not affect the existence of the loan agreement. Conversely, the verification of the fulfillment of the conditions for support is a legal obligation imposed on credit institutions by law, for which they bear liability for damages to the Treasury. Based on all this, it can be stated that the processing of personal data of children occurs based on the legal obligation of credit institutions, and the appropriate legal basis for the processing of their personal data is Article 6 (1) c) of the GDPR.

(44)

Nevertheless, in the specific case, the fact that the Applicant referred to an inappropriate legal basis under Article 6 (1) of the GDPR during the processing of the Affected Party's data is not significant in terms of the legality and necessity of the data processing. On one hand, the Representative did not dispute the legal basis for the processing of the Affected Party's personal data, only its necessity.

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On the other hand, the Applicant has an appropriate legal basis for the processing of personal data, regardless of the fact that it indicated an inappropriate point of Article 6(1) of the GDPR as the legal basis for data processing in its statement addressed to the Authority, since according to Article 6(1) of the GDPR, the processing of personal data is lawful to the extent that one of the conditions set out in points a) to f) is met.

V. Other Issues

(45)

The Authority's jurisdiction is defined by Section 38(2) and (2a) of the Infotv., and its competence extends to the entire territory of the country.

(46)

The decision is based on Sections 80-81 of the Ákr. The decision becomes final upon its communication in accordance with Section 82(1) of the Ákr.

(47)

According to Section 112, Section 116(1), Section 116(4)(d), and Section 114(1) of the Ákr, there is a right to legal remedy against the decision through administrative litigation.

(48)

The rules of administrative litigation are defined by Act I of 2017 on Administrative Litigation (hereinafter: Kp.). According to Section 12(1) of the Kp., administrative litigation against the Authority's decision falls under the jurisdiction of the court, and based on Section 13(3)(a)(aa) of the Kp., the Metropolitan Court is exclusively competent for the case. According to Section 27(1)(b) of the Kp., legal representation is mandatory in cases falling under the jurisdiction of the court. According to

Section 39(6) of the Kp., the submission of the statement of claim does not have a suspensive effect on the enforcement of the administrative act.

(49)

According to Section 29(1) of the Kp. and in consideration of Section 604 of the Pp., the provisions of Act CCXXII of 2015 on the General Rules of Electronic Administration and Trust Services (hereinafter: E-ügyintézési tv.) apply, and according to Section 9(1)(b) of the E-ügyintézési tv., the client's legal representative is obliged to maintain electronic communication.

(50)

The time and place for the submission of the statement of claim are determined by Section 39(1) of the Kp. Information regarding the possibility of requesting a hearing is based on Sections 77(1)-(2) of the Kp. The amount of the administrative litigation fee is determined by Section 45/A(1) of Act XCIII of 1990 on Fees (hereinafter: Itv.). The party initiating the proceedings is exempt from the prior payment of the fee under Section 59(1) and Section 62(1)(h) of the Itv.

Budapest, September 6, 2023

Dr. habil. Attila Péterfalvi

President

Associate Professor